

The importance of planning for Social Security survivor benefits

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The importance of planning for Social Security survivor benefits

Social Security is a key component of a comprehensive retirement income plan. As a result, making the right decisions around claiming benefits is critical for long-term success in retirement. Married couples in particular need to think carefully about how to best access benefits based on their individual needs and circumstances.

There are many financial challenges in retirement: keeping up with inflation, dealing with volatile markets and minimizing the impact of taxes, for example. For many, the biggest risk is the most uncertain?longevity risk. How do we make sure our savings last as long as we do? This is especially important for married couples; if both partners reach age 65, there is a greater than 50% chance that at least one will live into their 90s. However, there?s only a 7% chance that both spouses will attain age 90 together, which means potential challenges for the longer-living surviving spouse to maintain their standard of living (Centers for Disease Control, US Life Tables).

Planning for Social Security with an eye toward future survivor benefits can be an effective strategy to address longevity risk.

Survivor benefits at a glance

A surviving spouse is eligible to receive a benefit which is generally based on 100% of what the deceased spouse was receiving prior to death. The couple must be married for at least nine months, and divorced spouses are also eligible for survivor benefits if the marriage lasted at least 10 years.¹In contrast to one?s own retirement benefit or the spousal benefit which can be claimed beginning at age 62, survivor benefits can be claimed as early as age 60. Similar to other benefits, claiming early will result in a reduction of benefits. Assuming a full retirement age (FRA) of age 67, those claiming at the earliest age of 60 will receive roughly 70% of the full benefit.²For those still working and claiming before their FRA, benefits are subject to being withheld due to the earnings limitation. For 2025, the earnings limit for those under FRA is \$23,400. For every \$2 you earn over this limit, \$1 is withheld from your benefits. In the year you reach your FRA, a higher limit of \$62,160 applies, with \$1 withheld for every \$3 earned over the limit until the month you reach FRA. As a reminder, individuals can only receive one benefit at a time?their own, the spousal, or survivor benefit. (To learn more about survivor benefits, visit the Social Security site for more information on?Survivor benefits.?

Disparity in earnings? Try to maximize the benefit for the higher-earning spouse

When making the decision to claim Social Security, many married couples should factor joint life expectancy. This is especially important when there is a large disparity among the earnings history of each spouse. If possible, maximize the higher-earner?s benefit to provide a larger lifetime benefit for the lower-earning surviving spouse. The earlier the higher earner claims Social Security, the lower the potential survivor benefit for the other spouse. This can be problematic if the surviving spouse has a much lower benefit and lives significantly longer. If the higher earner waits until age 70 to claim their own benefits, this will ?lock in? the highest potential survivor benefit for the other spouse.

How the Social Security survivor benefit is calculated

Source: Social Security Administration, 2025. Note the survivor benefit is subject to reduction if surviving spouse claims before FRA.

Consider the potential difference in survivor benefits between claiming retirement benefits early vs. waiting until the maximum age of 70. Assuming the higher earning spouse?s own benefit is \$3,000 at an FRA of age 67, the difference is fairly significant.

Potential strategy: Mixing retirement benefits with survivor benefits

In addition to availability as early as age 60 (vs. 62 for spousal benefits), there is another unique feature with survivor benefits. Specifically, the opportunity for an individual to choose between claiming their own benefit vs. the survivor benefit. This option does not exist for spousal benefits, where, once claimed, the Social Security Administration will

determine which benefit is higher?the spousal benefit or the individual?s own retirement benefit. Assuming the spousal benefit is available, there?s no way to choose one over the other.

Survivor benefits are different, consider these two options for a surviving spouse also eligible for the retirement benefit based on their own record:

Option 1. A surviving spouse may claim the survivor benefit first (as early as age 60) and then ?switch over? to their own benefit later, at age 70, for example. This option provides current cashflow while letting their retirement benefit increase due to delayed retirement credits. Note that claiming survivor benefits prior to FRA will result in a reduced benefit and, if still working prior to FRA, benefits may be withheld due to the earnings limitation.

Option 2.Claim retirement benefits early while waiting until reaching FRA to ?switch over? to the survivor benefit. This allows an individual to receive the maximum survivor benefit available once FRA is reached while still receiving some cashflow from their own benefit prior to reaching FRA. Again, claiming the benefit prior to FRA will result in a reduced retirement benefit and, if still working prior to FRA, benefits may be withheld due to the earnings limitation. As a reminder, only your own retirement benefits are eligible for delayed retirement credits for waiting to claim past your FRA and up to age 70. This feature does not apply to survivor or spousal benefits.

Seek advice

Some couples may not want to discuss the possibility of one spouse pre-deceasing the other. In the case of Social Security, understanding the rules around survivor benefits is a critical component of an effective retirement income plan. It?s important to understand Social Security and the options for claiming benefits and the considerations around survivor benefits.

Endnotes

Some exceptions to the nine-month marriage rule apply such as accidental deaths. Consult SSA.gov for more information. Divorced spouse must be unmarried or remarried at age 60 or after to be eligible for survivor benefits based on the earnings record of their divorced, deceased spouse.

Those with a full retirement age (FRA) of age 67 claiming Social Security benefits at age 60 will see receive 71.5% of their benefit. Survivors who are disabled can claim benefits as early as age 50.

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